

Investment Credit Memorandum

Redrock CLO 2024-3 | Dustline Mining Corp. | 4 March 2024

1. Recommendation

Credit committee is asked to approve a \$7,400,000 allocation of the Dustline Mining Corp. first-lien term loan into the Redrock CLO 2024-3 warehouse, and to roll that position into the CLO at closing. The borrower is Dustline Mining Corp., headquartered in Tucson. The financial sponsor is Red Mesa Capital. Analyst: Kevin Zhou. Committee chair: Iris Benoit. Portfolio manager: Noah Patel, Evergreen Loan Strategies LLC.

Recommendation: Approve at a maximum par of \$7,400,000 (1.85% of the \$400,000,000 target CLO portfolio). The name sits inside the 2.0% single obligor concentration limit in the Redrock CLO 2024-3 indenture. Moody's corporate family rating is Caa1. S&P issuer credit rating is CCC+. The loan is US dollar denominated and is eligible collateral under the term sheet dated 12 March 2024.

2. Borrower and sponsor

Dustline Mining Corp. operates in Metals. The company is owned by Red Mesa Capital. Neither the sponsor nor the borrower is affiliated with Evergreen Loan Strategies LLC.

Related book names in Redrock CLO 2024-3 include Sonora Retail Partners, Mesa Wireless, Inc.. Those names are separate obligors and should not be aggregated for the single obligor test.

3. Facility terms

Instrument: Dustline Mining Corp. first-lien term loan. Spread: SOFR + 3.75% with a 0.75% floor. The credit agreement is covenant-lite. Canyon Bridge Bank is the warehouse lender to Redrock CLO 2024-3.

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4. Credit highlights and risks

Highlights: sponsor support from Red Mesa Capital, first-lien or unitranche collateral, and an allocation inside the 2.0% obligor cap.

Risks: sector cyclicity in Metals and add-on acquisition risk. Kevin Zhou confirmed that Moody's industry classification for Dustline Mining Corp. is 'Metals'.

5. CLO fit and covenants

The allocation complies with the Class A/B Overcollateralization Test methodology because the loan is par-eligible and rated Caa1. It uses 1.85 of the 2.00 percentage-point largest-obligor covenant. Noah Patel confirmed the trade for Redrock CLO 2024-3.

If Dustline Mining Corp. is downgraded to Caa1, the position would count toward the 7.5% Caa bucket in the Redrock CLO 2024-3 indenture. Wilmington Trust, N.A. would reflect that classification on the next monthly trustee report. Evergreen Loan Strategies LLC would then evaluate a sale during the reinvestment period.

6. Committee decision

Credit committee of Evergreen Loan Strategies LLC approved the \$7,400,000 purchase for the Redrock CLO 2024-3 warehouse on 4 March 2024. Voting members: Iris Benoit (chair), Noah Patel, and Kevin Zhou. The trade will settle into the Canyon Bridge Bank warehouse and be conveyed to Redrock CLO 2024-3, Ltd. on the closing date of 28 March 2024.